COVER SHEET

A 2 0 0 1 1 0 4 0 2

(Company's Full Name)

SBS PHILIPPINES CORPORATION (FORMERLY SYTENGCO PHILIPPINES CORPORATION)

(Business Address : No. Street City / Town / Province)

NO. 10 RESTHAVEN STREET SAN FRANCISCO DEL MONTE QUEZON CITY

FORM TYPE	Department Requiring the Report	Secondary License Type, If Applicable
17-Q	MSRD	

COMPANY INFORMATION

Company's Email Address	Company's Telephone Numbers	Mobile Number
ir@sbsph.com	8371-1111	

No. of Stockholders	Annual Meeting Month/Day	Fiscal Year Month/Day
17	Last Friday of June	12-31

CONATCT PERSON INFORMATION

The designated contact person MUST be an Ofiicer of the Corporation

Name of Contact Person	Email Address	Telephone Number's
GERRY D. TAN	g.tan@sbsph.com	(02) 8371-1111

Contact Person's Address

10 Resthaven Street, San Francisco del Monte, Quezon City

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended **30 September 2025**

2. Commission identification number **A200110402**

3. BIR Tax Identification No **213-054-503-000**

4. Exact name of issuer as specified in its charter **SBS PHILIPPINES CORPORATION**

5. **Philippines**
   Province, country or other jurisdiction of incorporation or organization

6. Industry Classification Code: [ ] (SEC Use Only)

7. **No. 10 Resthaven Street,**
   San Francisco Del Monte, Quezon City **1105**
   Address of issuer's principal office Postal Code

8. **(632) 8371-1111**
   Issuer's telephone number, including area code

9. **N/A**
   Former Name/Address/Fiscal year, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of stock as of 30 September 2025
Common Shares	**1,549,999,999**

11. Are any or all of the securities listed on a Stock Exchange?

Yes [✓] No [ ]

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

PHILIPPINE STOCK EXCHANGE **COMMON SHARES**

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes [✔] No [ ]

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [✔] No [ ]

PART I- FINANCIAL INFORMATION

Item 1. Financial Statements.

The unaudited consolidated financial statements of SBS Philippines Corporations ("SBS") and its subsidiary as of and for the period ended September 30, 2025 (with comparative figures as of December 31, 2024 and for the period ended September 30, 2024) and Selected Notes to the Financial Statements are hereto attached as **Annex "A"**.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

The information required by Part III, Paragraph (A)(2)(b) of 'Annex C, as amended' is attached hereto as **Annex "B"**.

PART II- OTHER INFORMATION

Outlook On Economic Position

The Philippine Peso has further weakened vis-à-vis the US Dollar in October breaching the PHP 59-per-dollar level for the first time amid market concerns of slowing economic growth due in part to the infrastructure spending controversy and expectations of further monetary easing. This weakness in the local currency erodes the confidence level for a robust economic activity in the remaining months of the year and may dampen the manufacturing sector demand during this period.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized in Quezon City on November 6, 2025.

GERRY D. TAN
President & Chief Executive Officer

AILEEN LOU G. CODAMON
Chief Finance Officer

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
CONDENSED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
SEPTEMBER 30, 2025 AND DECEMBER 31, 2024
(Amounts in Philippine Pesos)

	Notes	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
A S S E T S			
CURRENT ASSETS			
Cash and cash equivalents	1	**P 1,805,238,222**	P 1,229,218,433
Trade and other receivables – net	3	**143,701,322**	130,959,653
Inventories – net	1	**766,072,888**	775,359,958
Prepayments and other current assets	5	**160,149,181**	195,463,531
Total Current Assets		**2,875,161,613**	2,331,001,575
NON-CURRENT ASSETS			
Investments in associates	4	**3,151,742,889**	3,166,014,737
Property and equipment – net	6	**141,578,691**	143,854,128
Right-of-use assets – net	7	**92,973,052**	125,778,797
Investment properties	8	**625,700,346**	625,700,346
Other non-current assets	5	**2,363,053,517**	2,439,655,507
Total Non-current Assets		**6,375,048,495**	6,501,003,515
TOTAL ASSETS		**P 9,250,210,108**	P 8,832,005,090
LIABILITIES AND EQUITY			
CURRENT LIABILITIES			
Loans payable	10	**P 2,155,682,834**	P 1,517,897,967
Trade and other payables	9	**337,585,338**	332,915,803
Income tax payable		**4,910,517**	-
Lease liabilities	7	**-**	1,382,849
Total Current Liabilities		**2,498,178,689**	1,852,196,619
NON-CURRENT LIABILITIES			
Loans payable	10	**176,800,231**	307,156,636
Lease liabilities	7	**39,106,833**	35,695,423
Post-employment defined benefit obligation		**13,501,783**	13,501,783
Security deposit		**2,267,148**	1,927,148
Deferred tax liabilities – net		**411,941**	17,143,953
Total Non-current Liabilities		**232,087,936**	375,424,943
Total Liabilities		**2,730,266,625**	2,227,621,562
EQUITY	14		
Equity attributable to the shareholders of Parent Company:			
Capital stock		**1,549,999,999**	1,549,999,999
Additional paid-in capital		**2,242,794,207**	2,242,794,207
Revaluation reserves		**(3,699,922)**	(3,699,922)
Stock dividends distributable		**341,000,000**	341,000,000
Retained earnings		**1,686,893,126**	1,759,987,257
		5,816,987,410	5,890,081,541
Non-controlling interest		**702,956,073**	714,301,987
Total Equity		**6,519,943,483**	6,604,383,528
TOTAL LIABILITIES AND EQUITY		**P 9,250,210,108**	P 8,832,005,090

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE PERIODS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)
(UNAUDITED)

	Notes	July to September 2025	July to September 2024	January to September 2025	January to September 2024
SALE OF GOODS		**P 272,219,035**	P 270,274,580	**P 752,750,068**	P 833,705,542
COST OF GOODS SOLD		**178,859,744**	167,889,954	**485,974,594**	525,444,053
GROSS PROFIT		**93,359,291**	102,384,626	**266,775,474**	308,261,489
OTHER OPERATING INCOME (EXPENSES)					
Other operating expenses		**(54,060,968)**	(52,562,997)	**(149,973,918)**	(147,765,545)
Other operating income	11	**5,961,352**	3,924,507	**17,116,394**	8,390,341
		(48,099,616)	(48,638,490)	**(132,857,524)**	(139,375,204)
OPERATING PROFIT		**45,259,675**	53,746,136	**133,917,950**	168,886,285
EQUITY IN NET LOSSES OF ASSOCIATES	4	**(7,933,712)**	(9,648,773)	**(24,981,848)**	(29,475,291)
FINANCE COSTS - Net		**(31,443,085)**	(33,003,467)	**(77,306,075)**	(119,966,872)
PROFIT BEFORE TAX		**5,882,878**	11,093,896	**31,630,027**	19,444,122
TAX EXPENSE		**3,741,538**	5,937,572	**15,320,072**	11,076,773
NET PROFIT		**P 2,141,340**	P 5,156,324	**P 16,309,955**	P 8,367,349
Attributable to:					
Shareholders of the Parent Company		**P 6,222,281**	P 9,953,429	**P 27,655,869**	P 20,172,492
Non-controlling interest		**(4,080,941)**	(4,797,105)	**(11,345,914)**	(11,805,143)
		P 2,141,340	P 5,156,324	**P 16,309,955**	P 8,367,349
EARNINGS PER SHARE					
Basic and diluted earnings (loss) per share	14	**P 0.004**	P 0.006	**P 0.018**	P 0.013

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE PERIODS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	Attributable to Shareholders of the Parent Company							
	Capital Stock (see Note 14)	**Additional Paid-in Capital** (see Note 14)	**Revaluation Reserves**	**Stock Dividends Distributable**	**Retained Earnings** (see Note 14)	**Total**	**Non-controlling Interest**	**Total**
Balance at January 1, 2025 (audited)	P 1,549,999,999	P 2,242,794,207	(P 3,699,922)	P 341,000,000	P 1,759,987,257	P 5,890,081,541	P 714,301,987	P 6,604,383,528
Cash dividends during the period					(100,750,000)	(100,750,000)		(100,750,000)
Total comprehensive income (loss) for the period	-	-	-	-	27,655,869	27,655,869	(11,345,914)	16,309,955
Balance at September 30, 2025 (unaudited)	**P 1,549,999,999**	**P 2,242,794,207**	**(P 3,699,922)**	**P 341,000,000**	**P 1,686,893,126**	**P 5,816,987,410**	**P 702,956,073**	**P 6,519,943,483**
Balance at January 1, 2024 (audited)	P 1,549,999,999	P 2,242,794,207	(P 3,560,080)	P 341,000,000	P 1,741,839,898	P 5,872,074,024	P 727,485,676	P 6,599,559,700
Cash dividends during the period					(8,525,000)	(8,525,000)		(8,525,000)
Total comprehensive income (loss) for the period	-	-	-	-	20,172,492	20,172,492	(11,805,143)	8,367,349
Balance at September 30, 2024 (unaudited)	P 1,549,999,999	P 2,242,794,207	(P 3,560,080)	P 341,000,000	P 1,753,487,390	P 5,883,721,516	P 715,680,533	P 6,599,402,049

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE PERIODS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)
(UNAUDITED)

	Notes	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before tax		**P 31,630,027**	P 19,444,122
Adjustments for:			
Finance cost	7, 9, 10	**114,854,076**	146,784,426
Equity in net losses of associates	4	**24,981,848**	29,475,291
Depreciation and amortization	5, 6, 7	**43,931,307**	40,933,835
Unrealized foreign currency loss (gains) - net		**2,983,620**	(2,434,433)
Interest income		**(40,539,045)**	(24,383,121)
Operating profit before working capital changes		**177,841,833**	209,820,120
Decrease in trade and other receivables		**(12,741,669)**	346,213,142
Decrease (increase) in inventories		**9,287,070**	44,037,799
Decrease in prepayments and other assets		**17,457,395**	166,405,195
Increase (decrease) in trade and other payables		**4,669,536**	3,644,003
Increaase (decrease) in security deposits		**340,000**	1,927,148
Cash generated from operations		**196,854,165**	772,047,407
Cash paid for income taxes		**(9,590,234)**	(9,017,843)
Net Cash From Operating Activities		**187,263,931**	763,029,564
CASH FLOWS FROM INVESTING ACTIVITIES			
Collection of refundable deposit		**315,000,000**	-
Interest received		**40,539,045**	24,383,121
Advance payment for investment and asset acquisition	5	**(250,000,000)**	(614,760,000)
Acquisition of investment in associate		**(10,000)**	
Acquisition of property and equipment	6	**(7,529,749)**	(6,388,438)
Acquisition of computer software	5	**(418,384)**	(238,000)
Net Cash From (Used in) Investing Activities		**97,580,912**	(597,003,317)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from availment of loans	10	**1,745,000,000**	1,315,000,000
Settlement of loans	10	**(1,238,333,333)**	(872,666,667)
Dividends paid		**(100,750,000)**	(8,525,000)
Interest paid		**(110,347,351)**	(146,675,670)
Payment of lease liabilities	7	**(1,410,750)**	(1,350,000)
Net Cash From Financing Activities		**294,158,566**	285,782,663
EFFECTS OF FOREIGN EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS		**(2,983,620)**	2,434,433
NET INCREASE IN CASH AND CASH EQUIVALENTS		**576,019,789**	454,243,343
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD		**1,229,218,433**	739,392,026
CASH AND CASH EQUIVALENTS AT END OF PERIOD		**P 1,805,238,222**	P 1,193,635,369

SELECTED NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies that have been used in the preparation of these condensed consolidated financial statements are summarized below and in the succeeding pages. These policies have been consistently applied to all years presented, unless otherwise stated.

1.1 Basis of Preparation of Condensed Consolidated Financial Statements

a) Presentation of Condensed Consolidated Financial Statements

The condensed consolidated interim financial statements have been prepared in accordance with Philippine Accounting Standard (PAS) 34, *Interim Financial Reporting*. These condensed consolidated interim financial statements do not include all of the information required for annual consolidated financial statements and should be read in conjunction with the annual consolidated financial statements of the Group as of and for the year ended December 31, 2024, which have been prepared in accordance with Philippine Financial Reporting Standards (PFRS). PFRS are adopted by the Financial Reporting Standards Council from the pronouncements issued by the International Accounting Standards Board and approved by the Philippine Board of Accountancy.

b) Functional and Presentation Currency

These condensed consolidated financial statements are presented in Philippine pesos, the Group's functional and presentation currency, and all values represent absolute amounts except when otherwise indicated.

Items included in the condensed consolidated financial statements of the Group are measured using its functional currency, the currency of the primary economic environment in which the Group operates.

1.2 Changes in Significant Accounting Policies

The condensed consolidated interim financial statements have been prepared in accordance with the accounting policies adopted by the Group in its recent annual consolidated financial statements for the year ended December 31, 2024.

The policies have been consistently applied to all periods presented, unless otherwise stated.

2. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the Group's condensed consolidated interim financial statements in accordance with PAS 34 requires management to make judgments, estimates, and assumptions that affect the application of accounting policies and the amounts of assets, liabilities, income and expenses reported in the financial statements. Actual results may vary from these estimates.

In preparing these condensed consolidated interim financial statements, the significant judgments made by management in applying the Group's accounting policies and the key sources of estimation uncertainty were the same as those applied in the Group's recent annual consolidated financial statements as of and for the year ended December 31, 2024.

3. TRADE AND OTHER RECEIVABLES

This account is composed of the following:

	Notes	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
Trade receivable		**P 136,439,606**	P 126,161,536
Other receivables		**7,345,809**	4,882,210
		143,785,415	131,043,746
Allowance for impairment	16.2	**(84,093)**	(84,093)
		P 143,701,322	P 130,959,653

Trade receivables are usually due within 30 to 60 days and do not bear any interest.

All of the Group's trade and other receivables have been reviewed for indications of impairment. Certain trade receivables were assessed to have expected credit loss (ECL) using the provisional matrix as determined by management, hence, adequate amounts of allowance for impairment have been recognized (see Note 16.2). However, no additional allowance for credit losses was recognized for the period ended September 30, 2025 and 2024.

4. INVESTMENTS IN ASSOCIATES AND ACQUISITION OF ASSETS

4.1 Investments in Associates

The components of the carrying values of investments in associates accounted for under the equity method are shown as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Associates of both Parent Company and SBS Holdings:		
Goldchester Holdings Corporation (GHC)	**P 1,093,675,289**	P 1,094,467,147
Smyte Phils. Holdings Corporation (SPHC)	**275,850,296**	277,005,364
Berny Philippines Holdings Corp (BPHC)	**221,015,731**	221,123,439
	1,590,541,316	1,592,595,950
Associates of the Parent Company:		
Cleon Phils. Holding Corporation (CPHC)	**606,744,474**	625,294,161
Lakerfield Phils. Holding Corporation (LPHC)	**105,131,254**	105,610,333
Ayschester Holdings Corporation (AHC)	**52,459,436**	52,720,489
I-Bonding Holdings Corporation (IBHC)	**8,530,496**	8,577,110
	772,865,660	792,202,093
Associates of SBS Holdings and Enterprises Corporation (SBS Holdings):		
Mansfield Holdings Corp (MFHC)	**110,833,699**	111,012,532
Joine Holdings Corporation (JHC)	**92,601,691**	93,034,910
Joune Holding Limited (JoHL)	**89,481,975**	89,481,975
Orientalgems Holdings Corporation (OHC)	**84,146,355**	84,914,437
Apschester Holdings Corporation (APHC)	**68,464,939**	68,683,787
Couts Holdings Corporation (CHC)	**64,590,438**	66,285,846
Urman Holdings Corporation (UHC)	**52,920,361**	52,923,415
Aresa Holdings Corp. (ARHC)	**51,051,873**	51,831,783
Scott Holdings Corp. (SHC)	**45,421,625**	45,564,593
Aspar Holdings Corporation (ArHC)	**33,453,331**	33,480,261
Morechester Phils. Inc. (MPI)	**28,018,766**	28,141,907
Icare Holding Corporation (ICHC)	**26,780,792**	24,514,524
Namia Holdings Corporation (NHC)	**23,954,012**	23,982,405
Asida Holdings Corp. (ASHC)	**10,232,152**	-
Milia Holdings Corporation (MHC)	**5,392,237**	6,370,276
Ineda Holdings Corporation (IHC)	**991,669**	994,043
Justfields Holdings Corporation (JuHC)	**-**	-
Syner Holdings Corporation (SyHC)	**-**	-
	788,335,913	781,216,694
	P 3,151,742,889	P 3,166,014,737

The Group recognized its share in the net losses of the investee companies in the total amount of P25.0 million and P29.5 million in 2025 and 2024, respectively, which are presented as Equity in Net Losses of Associates in the condensed consolidated statements of comprehensive income.

A reconciliation of the carrying amounts of investments in associates at the beginning and end of September 30, 2025, and December 31, 2024, is reported as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balance at beginning of year	**P3,166,014,737**	P2,894,819,882
Equity in net losses (gains)	**(24,981,848)**	(39,375,345)
Reclassification	**10,700,000**	310,570,200
Addition	**10,000**	-
	P3,151,742,889	P 3,166,014,737

The total amount of the assets, liabilities, revenues and net loss of these associates are reported below and on the succeeding page.

	Assets	**Liabilities**	**Expenses**	**Net Loss (Income)**
September 30, 2025:				
CPHC	**P 3,231,586,516**	**P 1,521,838,583**	**P 52,298,822**	**P 39,223,176**
CHC	**1,845,549,962**	**1,594,276,646**	**9,885,867**	**7,414,306**
GHC	**1,595,289,222**	**10,520,771**	**3,147,910**	**2,360,880**
SPHC	**1,562,418,117**	**1,087,164,743**	**1,977,254**	**1,482,871**
SyHC	**1,220,321,672**	**1,327,585,146**	**14,167,541**	**10,624,836**
OHC	**1,077,247,343**	**942,118,144**	**2,648,653**	**1,986,525**
JuHC	**916,893,888**	**1,006,232,002**	**1,892,177**	**1,419,072**
BPHC	**915,047,483**	**58,206**	**468,488**	**351,187**
MHC	**665,618,032**	**647,558,730**	**3,372,807**	**2,529,373**
MFHC	**619,593,269**	**316,731**	**1,052,018**	**788,959**
JHC	**459,753,257**	**35,839,733**	**1,969,247**	**1,476,876**
APHC	**363,259,078**	**124,066,224**	**994,810**	**746,070**
NHC	**342,746,098**	**240,088,000**	**129,103**	**96,787**
ARHC	**321,079,044**	**14,641,767**	**4,587,831**	**3,440,752**
AHC	**309,540,342**	**41,250,629**	**1,993,710**	**661,318**
LPHC	**298,697,323**	**11,883,908**	**1,294,869**	**971,085**
SHC	**288,486,642**	**29,318,088**	**817,004**	**612,712**
UHC	**242,790,964**	**20**	**14,019**	**10,382**
ICHC	**216,150,592**	**116,284,488**	**3,969,718**	**(6,798,852)**
ASHC	**176,462,388**	**133,930,241**	**2,810,941**	**2,108,140**
MPI	**160,651,268**	**5,795,086**	**724,429**	**543,274**
ArHC	**154,813,426**	**2,151,000**	**122,451**	**91,798**
IBHC	**135,842,485**	**85,341,815**	**238,226**	**206,048**
IHC	**25,317,436**	**20,187,520**	**13,999**	**10,464**

	Assets	Liabilities	Expenses	Net Loss (Income)
December 31, 2024:				
CPHC	P 2,866,079,735	P 1,117,108,626	P 55,142,126	P 55,137,904
JoHL	1,852,138,433	153,844,264	14,326,840	950,743
GHC	1,597,057,727	9,928,396	3,762,148	3,762,052
CHC	1,596,103,963	1,337,416,340	26,308,225	26,308,043
SPHC	1,562,822,009	1,086,085,765	2,570,237	2,570,939
SyHC	1,217,324,742	1,313,963,380	37,635,774	37,634,884
OHC	1,077,358,022	940,242,298	3,409,511	3,408,759
JuHC	918,205,164	1,006,124,205	310,366,791	31,036,548
BPHC	915,421,579	81,114	682,990	(656,693)
MHC	667,389,907	646,801,233	10,746,233	10,745,967
MFHC	620,280,137	214,640	1,355,648	1,355,532
JHC	459,046,516	33,656,124	7,112,153	7,112,028
APHC	363,085,935	123,147,012	7,801,352	7,800,966
NHC	342,760,885	240,006,000	1,216,819	1,216,700
ARHC	323,420,798	13,542,768	6,012,272	6,012,011
AHC	308,550,773	39,599,742	6,391,054	9,908,592
LPHC	298,407,292	10,622,791	3,953,585	3,953,748
SHC	288,547,108	28,765,842	495,425	495,380
UHC	242,801,327	-	13,931	13,734
ICHC	218,854,782	125,662,301	15,551,864	(15,551,864)
ASHC	178,518,340	196,878,053	2,148,334	2,148,063
MPI	160,557,130	5,157,673	2,604,149	2,603,993
ArHC	156,226,224	3,472,000	1,792,073	1,792,020
IBHC	135,807,035	85,100,317	313,010	312,979
IHC	25,327,879	20,187,500	14,506	14,434

5. PREPAYMENTS AND OTHER ASSETS

This account is composed of the following:

	Note	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
Current assets:			
Refundable deposits		**P 136,359,591**	P 148,945,302
Creditable withholding tax		**14,867,985**	23,190,133
Prepaid expenses		**8,157,136**	8,855,545
Input VAT		**764,469**	14,472,551
		P 160,149,181	P 195,463,531
Non-current assets:			
Investment subscriptions		**P 1,907,229,730**	P 1,667,929,730
Refundable deposits	12.2, 12.4	**453,750,000**	768,750,000
Computer software – net		**2,073,787**	2,975,777
		P 2,363,053,517	P 2,439,655,507

Refundable deposits include amounts paid to lessor of leased warehouses. These can be applied against unpaid rent or any damages against leased property. It also includes amounts deposited by the Group to certain related parties in relation to memorandums of agreement which may be refunded upon the happening of certain conditions (see Note 12.4).

Prepaid expenses pertain mainly to advance payments on real property taxes and insurance premiums. It also includes amounts paid to lessor of the leased warehouse. These can be applied against unpaid rent or any damages against leased property.

Investment subscription pertains to deposit for future subscription made by the Group in certain affiliate companies. However, such subscriptions are yet to be completed or executed as of September 30, 2025 and December 31, 2024.

Computer software pertains to the Enterprise Resource Planning system and related applications. The amortization of the computer software started only on July 2021, which is the date when computer software was deemed ready for intended use. Amortization of computer software is presented as part of Other Operating Expenses in the condensed consolidated statements of comprehensive income.

6. PROPERTY AND EQUIPMENT

The gross carrying amounts and accumulated depreciation and amortization of property and equipment at the beginning and end of September 30, 2025 and December 31, 2024 are shown below.

(Amounts in PHP)	**Building**	**Leasehold Improvements**	**Transportation and other Equipment**	**Furniture and Fixtures**	**Total**
September 30, 2025					
Cost	97,889,328	16,824,812	111,722,713	6,661,227	233,098,080
Accumulated depreciation and amortization	(4,915,220)	(10,138,338)	(70,889,422)	(5,576,409)	(91,519,389)
Net carrying amount	**92,974,108**	**6,686,474**	**40,833,291**	**1,084,818**	**141,578,691**
December 31, 2024					
Cost	97,508,590	16,631,596	105,511,769	5,916,379	225,568,334
Accumulated depreciation and amortization	(1,981,079)	(9,209,422)	(65,147,506)	(5,376,199)	(81,714,206)
Net carrying amount	**95,527,511**	**7,422,174**	**40,364,263**	**540,180**	**143,854,128**
January 1, 2024					
Cost	42,182,970	16,543,921	102,143,482	5,501,244	166,371,617
Accumulated depreciation and amortization	(257,896)	(7,940,626)	(60,418,415)	(5,237,807)	(73,854,744)
Net carrying amount	41,925,074	8,603,295	41,725,067	263,437	92,516,873

A reconciliation of the carrying amounts of property and equipment at the beginning and end of the period is shown below:

(Amounts in PHP)	**Building**	**Leasehold Improvements**	**Transportation and other Equipment**	**Furniture and Fixtures**	**Total**
Balance at January 1, 2025, net of accumulated depreciation	95,527,511	7,422,174	40,364,263	540,180	143,854,128
Additions	380,738	193,217	6,210,944	744,849	7,529,748
Depreciation and amortization charges for the period	(2,934,141)	(928,917)	(5,741,916)	(200,211)	(9,805,185)
Balance at September 30, 2025, net of accumulated depreciation and amortization	**92,974,108**	**6,686,474**	**40,833,291**	**1,084,818**	**141,578,691**
Balance at January 1, 2024, net of accumulated depreciation and amortization	41,925,074	8,603,295	41,725,067	263,437	92,516,873
Additions	55,325,620	87,675	6,068,285	415,135	61,896,715
Depreciation and amortization charges for the year	(1,723,183)	(1,268,796)	(7,429,089)	(138,392)	(10,559,460)
Balance at December 31, 2024, net of accumulated depreciation and amortization	**95,527,511**	**7,422,174**	**40,364,263**	**540,180**	**143,854,128**

The amount of depreciation and amortization is presented under Other Operating Expenses in the condensed consolidated statements of comprehensive income.

As at September 30, 2025 and December 31, 2024, the gross carrying amount of the Group's fully depreciated property and equipment that are still in use is P60.6 million and P60.1 million, respectively.

7. LEASES

The Group is a lessee under non-cancellable operating leases covering its warehouses and office building. All the lease for warehouses and office building has a term ranging from two to five years. All leases have renewal options subject to mutual agreement of the parties. Generally, termination of lease contracts shall be communicated to the lessee by the lessor 30 days prior to the termination or expiration of the lease contract. Each lease is reflected in the condensed consolidated statements of financial position as a right-of-use asset and as lease liability. The Group's leases have no option to purchase. The Group classifies its right-of-use assets as a separate line item in the condensed consolidated statements of financial position.

Each lease generally imposes a restriction that, unless there is a contractual right for the Group to sublet the asset to another party, the right-of-use asset can only be used by the Group. Leases are either non-cancellable or may only be cancelled by incurring a substantive termination fee. The Group is prohibited from selling or pledging the underlying leased assets as security. For leases over warehouses and offices, the Group must keep those properties in a good state of repair and return the properties in their original condition at the end of the lease. Further, the Group is to incur maintenance fees on such items in accordance with the lease contracts.

The table below describes the nature of the Group's leasing activities by type of right-of-use asset recognized in the condensed consolidated statements of financial position.

	Number of Right-of-use assets leased	Average Remaining lease term
Warehouses and related facilities	8	3 years
Office building	1	3 years

7.1 Right-of-use Assets

The carrying amounts of the Group's right-of-use assets as at September 30, 2025 and December 31, 2024 and the movements during those periods are as follows:

	Warehouse and other related facilities	Office Building	Total
September 30, 2025			
Balance at beginning of period (audited)	P 115,654,840	P 10,123,957	P 125,778,797
Depreciation and amortization	(30,274,756)	(2,530,989)	(32,805,745)
Balance at end of period (unaudited)	**P 85,380,084**	**P 7,592,968**	**P 92,973,052**
December 31, 2024			
Balance at beginning of year (audited)	P 151,408,680	P 13,498,610	P 164,907,290
Additions	3,075,000	-	3,075,000
Depreciation and amortization	(38,828,840)	(3,374,653)	(42,203,493)
Balance at end of year (audited)	P 115,654,840	P 10,123,957	P 125,778,797

Depreciation and amortization of right-of-use assets is presented as part of Other Operating Expenses in the condensed consolidated statements of comprehensive income.

7.2 Lease Liabilities

Lease liabilities are presented int the condensed consolidated statements of financial position as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current	**P -**	P 1,382,849
Non-current	**39,106,833**	35,695,423
	P 39,106,833	P 37,078,272

8. INVESTMENT PROPERTIES

The Group's investment properties amounting to P625.7 million as of September 30, 2025 and December 31, 2024, represent parcels of land held primarily for capital appreciation but not for sale in the ordinary course of the business or use in the production or supply of goods or services or for administrative purposes.

The real property taxes on investment properties amounted to P1.4 million and P1.4 million as of September 30, 2025 and 2024, respectively, and were recognized and reported as part of Other Operating Expenses in the condensed consolidated statements of comprehensive income.

As determined by independent and SEC-accredited property appraisers, the total fair market values of these investment properties as of July 2024 amounted to P8.7 billion (see Note 19.3). The Group's management assessed that the latest appraisal made holds the same fair market values as of September 30, 2025 and December 31, 2024. It is the Group's policy to obtain an appraisal from an independent property appraiser every three years.

9. TRADE AND OTHER PAYABLES

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trust receipts payable	**P 240,223,365**	P 240,113,057
Trade payables	**59,050,529**	59,735,213
Accrued expenses and others	**33,131,527**	32,151,142
Output VAT payable	**5,179,917**	916,391
	P 337,585,338	P 332,915,803

The Group avails of trust receipt facilities with local banks that were used to finance the Group's purchases of inventories. These short-term trust receipts, which are secured by the related inventories whose values equal the amount of outstanding trust receipts, bear interests based on prevailing market interest rates ranging from 5.63% to 7.0% in 2025 and 5.9% to 7.8% in 2024. Interest expense incurred on these transactions in the periods ended September 30, 2025 and 2024 amounted to P11.5 million and P10.8 million, respectively, and is presented as part of Interest expense under Finance Costs – Net in the condensed consolidated statements of comprehensive income.

Accrued expenses and other payables include the obligations relating to the accrual of professional fees, rentals, employee benefits and other liabilities that are expected to be settled within 12 months from the end of the reporting period.

10. LOANS PAYABLE

This account includes the following as at September 30, 2025 and December 31, 2024.

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current	**P 2,155,682,834**	P 1,517,897,967
Non-current	**176,800,231**	307,156,636
	P 2,332,483,065	P 1,825,054,603

A reconciliation of the movements in the amount of loans payable at the beginning and end of September 30, 2025 and December 31, 2024 is shown below.

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash from financing activities:		
Balance at beginning of the period	**P 1,825,054,603**	P 1,656,369,338
Availments during the period	**1,745,000,000**	1,670,000,000
Settlements during the period	**(1,238,333,333)**	(1,502,111,111)
Additional debt issue cost	**(7,190,651)**	(11,328,082)
	2,324,530,619	1,812,930,145
Non-cash transaction from financing activities – Effect of debt issue cost	**7,952,446**	12,124,458
	P 2,332,483,065	P 1,825,054,603

Short-term loans are subject to interest rates ranging from 5.63% to 7.58% in 2025 and 6.0% to 7.8% in 2024 and are acquired for working capital requirements. On average, the short-term loans fall due every three to six months and are subject to roll over unless otherwise settled by the Group.

In 2022, the Group acquired a long-term loan that is subject to annual repricing, with the interest rate adjusted from 5.10% in 2022 to 7.58% in 2025. The loan is payable in 18 equal quarterly payments beginning May 2023 for the loan amount of P500 million and 12 equal quarterly payments beginning November 2024 for the loan amount of P200 million.

The details of the non-current loans payable are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Principal amount	**P 700,000,000**	P 700,000,000
Debt issue cost	**(5,250,000)**	(5,250,000)
Net amount	**694,750,000**	694,750,000
Reclassification to current portion	**(177,777,778)**	(180,000,000)
Settlements	**(344,444,444)**	(211,111,111)
Amortization of debt issue cost	**3,294,906**	2,509,994
Debt issue cost on current portion of loan	**977,547**	1,007,753
	P 176,800,231	P 307,156,636

Interest expense incurred on these loans in 2025 and 2024, amounted to P89.3 million and P126.4 million, respectively, and is presented as part of Interest expense under Finance Costs – Net in the condensed consolidated statements of comprehensive income.

The long-term loan is secured by a property owned by one of its associates (see Note 12.4). Other outstanding loans were availed using its credit line facility wherein no collateral is needed.

11. OTHER OPERATING INCOME

The Group earns rental income from the leasing of properties to third party tenants. The leased properties are owned by ASHC and BPHC, for which the Group was granted a full right of usufruct to ASHC's and BPHC's properties (see Note 12.7). Income generated from the properties amounted to P4.4 million and P1.4 million for the period ended September 30, 2025 and 2024, respectively (see Note 15.1). In addition, the Group also earned rental income from agreements on non-obstruction of properties.

The Parent Company also earned miscellaneous income from referral on trade sales amounting to P1.9 million and P1.3 million for the period ended September 30, 2025 and 2024, respectively.

Other operating income also includes management fees from a service agreement with certain associates (see Note 12.3).

12. RELATED PARTY TRANSACTIONS

The Group's related parties include its Parent Company, related parties under common ownership and its key management personnel. The transactions with these related parties are discussed as follows.

		Amount of Transactions		Receivables (Payables)	
Related Party Category	Note	**September 30, 2025**	September 30, 2024	**September 30, 2025**	December 31, 2024
Stockholders					
Lease agreements	12.2				
Lease liabilities		**(271,782)**	(438,064)	**(3,115,582)**	**(2,843,800)**
Right-of-use assets		**(2,417,970)**	(2,417,970)	**7,253,909**	**9,671,879**
Security deposit		**-**	-	**885,937**	**885,937**
Related Parties Under Common Ownership					
Lease Agreements:	12.2				
Lease liabilities		**205,449**	(656,035)	**(13,497,168)**	(13,702,617)
Right-of-use assets		**(11,777,235)**	(11,777,235)	**31,425,021**	43,202,256
Security deposit		**-**	-	**4,288,014**	4,288,014
Purchase of goods	12.1	**174,536**	353,563	**-**	-
Shared business and management services	12.3	**1,068,750**	1,068,750	**-**	-
Associates					
Lease Agreements:	12.2				
Lease liabilities		**(1,623,212)**	(2,616,491)	**(18,608,902)**	(16,985,590)
Right-of-use assets		**(15,595,294)**	(14,442,169)	**45,248,382**	60,843,676
Security deposit		**-**	-	**5,666,571**	5,666,571
Advances for investment and property purchase		**-**	(365,000,000)	**-**	-
Equity investment in associates	4	**(14,271,848)**	227,784,709	**3,151,742,889**	3,166,014,737
Refundable deposit	12.4	**-**	-	**453,750,000**	453,750,000
Key Management Personnel –					
Fees paid	12.5	**12,190,987**	12,381,923	**-**	-

The Company's outstanding receivables with related parties were subjected to impairment using the requirements of PFRS 9. These receivables have substantially the same risk characteristics as trade receivables. As such, the expected loss rates for trade receivables are a reasonable approximation of the loss rates for receivables from related parties. There were no impairment losses recognized for these receivables from related parties as of September 30, 2025 and December 31, 2024 [(see Note 16.2(b)].

12.1 Sale and Purchase of Goods

The Group purchased goods from certain related parties which are presented as part of Cost of Goods Sold in the condensed consolidated statements of comprehensive income. There are no outstanding payables as of September 30, 2025 and December 31, 2024.

12.2 Lease Agreements

The Group, as a lessee, entered into operating lease agreements with terms of two to five years, covering certain warehouses owned by certain related parties. The lease is renewable upon mutual agreement by both parties.

Related expenses from these transactions are recorded as part of Depreciation and amortization. There were no outstanding rentals as of September 30, 2025 and December 31, 2024. Deposits made on these lease agreements are presented as part of Refundable deposits under Prepayments and Other Current Assets in the condensed consolidated statements of financial position (see Note 5).

12.3 Shared Business and Management Services

The Group entered into a service agreement with its related parties under common ownership wherein the former shall provide certain operational, management and administrative services for a fee. Management fees charged by the Parent Company are recognized under the Other Operating Income in the condensed consolidated statement of comprehensive income (see Note 11).

12.4 Memorandum of Agreement

In 2018, the Group entered into a memorandum of agreement with SPHC, an associate of SBS Holdings, wherein the Parent Company will assist in gathering investors to cover SPHC's increase in capitalization. As part of the agreement, SPHC also used its property as mortgage substitution to continue securing one of the Parent Company's loans (see Note 10). The related performance deposit amounting to P500.0 million is presented as part of Other Non-current Assets in the condensed consolidated statements of financial position (see Note 5). The amount will be refunded once the Parent Company has already gathered the investors. However, in 2019, as agreed by both parties, the performance obligation has been extended for another 12 months. In 2019, a portion of the deposit amounting to P46.3 million was collected and used in acquiring shares in SPHC (see Note 5). As of September 30, 2025, the Parent Company is in discussions with potential investors to subscribe to the available shares of SPHC.

12.5 Key Management Personnel

Payments received by key management personnel pertain to service fees for the periods ended September 30, 2025 and 2024, which is presented under Other Operating Expenses and also as part of Cost of services under Cost of Sales and Services in the condensed consolidated statements of comprehensive income. There was no outstanding balance as of September 30, 2025 and December 31, 2024.

12.6 Others

SBS Holdings holds a full right of usufruct over the real estate properties of ASHC and BPHC. The usufruct includes collections of fees or service charges from third party tenants for the purpose of upkeep, maintenance, operation and management of such properties. Revenue arising from this agreement presented as part Other Operating Income in the condensed consolidated statements of comprehensive income (see Note 11). In relation to such agreement, the Company also received security deposits from the tenants, which are to be returned to the counterparties at the end of the lease term. These security deposits are presented under Non-current liabilities section of the condensed consolidated statements of financial position.

13. SEGMENT REPORTING

13.1 Business Segments

The Group's operating businesses are organized and managed separately according to the nature of products and services provided. In identifying its reportable operating segments, management generally follows the Group's two main revenue sources, which represent the products and services provided by the Group, namely Sale of Goods and Consultancy Income.

13.2 Analysis of Segment Information

The table below and the succeeding page presents revenue and profit information regarding business segments of the Group for the periods ended September 30, 2025 and 2024.

	Sale of Goods	Consultancy Income	Total
September 30, 2025			
Revenues	P 752,750,068	P -	P 752,750,068
Cost	(485,974,594)	-	(485,974,594)
	266,775,474	-	266,775,474
Other operating expenses:			
Salaries and wages	40,599,755	-	40,599,755
Outside services	7,951,324	-	7,951,324
Transportation and travel	4,920,332	-	4,920,332
Insurance	3,530,101	-	3,530,101
Advertising and promotions	416,253	-	416,253
	57,417,765	-	57,417,765
Segment profit before depreciation and amortization	**P 209,357,709**	**P -**	**P 209,357,709**
September 30, 2024			
Revenues	P 833,705,542	P -	P 833,705,542
Cost	(525,444,053)	-	(525,444,053)
	308,261,489	-	308,261,489
Other operating expenses:			
Salaries and wages	34,896,685	-	34,896,685
Outside services	8,273,141	-	8,273,141
Transportation and travel	5,337,473	-	5,337,473
Insurance	4,220,231	-	4,220,231
Advertising and promotions	1,561,175	-	1,561,175
Commission	192,759	-	192,759
	54,481,646	-	54,481,646
Segment profit before depreciation and amortization	P 253,780,025	P -	P 253,780,025

Presented below is the Group's reconciliation of the components of reportable segments to the condensed consolidated statements of comprehensive income.

	2025	2024
Revenues –		
Total revenue of reportable segments	**P 752,750,068**	P 833,705,542
Costs and expenses:		
Total costs and expenses of reportable segments	**543,392,359**	579,925,517
Other costs and expenses from non-reportable segments	**48,624,846**	52,350,246
Depreciation and amortization	**43,931,307**	40,933,835
	635,948,512	673,209,598
Other operating income	**17,116,394**	8,390,341
Finance costs – net	**(77,306,075)**	(119,966,872)
Equity in net losses of associates	**(24,981,848)**	(29,475,291)
Profit (loss) before tax	**P 31,630,027**	P 19,444,122

The results of operations from the segments are used by management to analyze the Group's operation and to allow them to control and study the costs and expenses. It is also a management indicator on how to improve the Group's operation. Expenses are allocated through direct association of costs and expenses to operating segments.

14. EQUITY

14.1 Capital Stock

Capital stock consists of common shares with details shown below.

	Shares		**Amount**	
	2025	2024	**2025**	2024
Authorized - P1 par value	**2,750,000,000**	1,550,000,000	**P 2,750,000,000**	P 1,550,000,000
Subscribed, issued, outstanding at the end of the period	**1,549,999,999**	1,549,999,999	**P 1,549,999,999**	P 1,549,999,999

As of September 30, 2025, the authorized capital stock of the Parent Company is P2,750,000,000 consisting of 2,750,000,000 Common Shares with a par value of P1.00 per share, following the SEC approval of the increase in authorized capital stock on September 23, 2025. A total of 1,549,999,999 common shares are subscribed and outstanding as of September 30, 2025 and as of December 31, 2024.

On August 10, 2015, a total of 1,200,000,000 common shares of the Parent Company with par value of P1.00 per share were listed under the Main Board of the PSE. In addition, by way of an initial public offering (IPO), the Parent Company sold 420,000,000 shares of its common stock at an offer price of P2.75 per share on the same day. The IPO resulted in a recognition of Additional Paid-in Capital amounting to P698.4 million, net of IPO-related expenses amounting to P36.6 million.

As of September 30, 2025, the total number of registered stockholders based on the records of the Group's Stock and Transfer Agent is seventeen (17). Such listed shares closed at P3.90 per share as of September 30, 2025.

14.2 Retained Earnings

On February 25, 2025, the Parent Company approved the declaration of cash dividends of P0.065 per share, totaling P100.75 million to all shareholders as of record date of March 12, 2025, and paid on March 25, 2025. For the previous year, the Parent Company approved the declaration of cash dividend of P0.0055 per share on May 23, 2024, amounting to P8.525 million to all shareholders as of record date June 7, 2024, and paid out on June 21, 2024.

On March 20, 2023, the Parent Company's BOD approved the declaration of 22% stock dividend of the outstanding capital stock, amounting to approximately 341,000,000 common shares with par value of P341,000,000, payable out of the unrestricted retained earnings as of December 31, 2022, which shall be sourced from the increase in authorized capital stock. On July 3, 2023, the Company's stockholders approved the declaration of stock dividend. On September 23, 2025, the SEC approved the increase in authorized capital stock and authorized the issuance of the 341,000,000 shares on October 6, 2025, with record date October 10, 2025 and the payment date has been rescheduled to November 5, 2025 (from the original payment date of October 22, 2025) to allow sufficient time to process the necessary regulatory procedures. Accordingly, the stock dividends are presented within equity as Stock Dividends Distributable of P341.0 million as of September 30, 2025, pending issuance.

14.3 Earnings per Share

Basic earnings per share are computed as follows:

	2025	2024
Net profit (loss) attributable to Parent Company	**P 27,655,869**	P 20,172,492
Divided by the weighted average number of outstanding common shares	**1,549,999,999**	1,549,999,999
Basic and diluted earnings per share	**P 0.018**	P 0.013

14.4 Material Non-controlling Interest

Non-controlling interest pertains to 55% ownership of minority stockholders in SBS Holdings. Despite loss of majority stockholding in SBS Holdings, the Parent Company determined that it has the ability to influence the majority of SBS Holdings' stockholdings as the next most significant stockholder of the subsidiary as of September 30, 2025 and December 31, 2024 is Anesy Holdings Corporation, the Ultimate Parent Company.

The financial information of SBS Holdings is presented below.

	Assets	**Liabilities**	**Equity**	**Net Income (Loss)**
September 30, 2025:				
SBS Holdings	**P 3,240,511,522**	**P 148,746,819**	**P 3,091,764,703**	**(P 20,487,385)**
December 31, 2024:				
SBS Holdings	P 3,117,484,794	5,232,706	3,112,252,088	P 23,864,913

SBS Holdings has original authorized capital stock 5,500,000,000 with a par value of P1. As at December 31, 2018, the Parent Company owns 2,000,311,897 common shares of SBS Holdings, representing 99% ownership of SBS Holdings' outstanding capital stock. In May 22, 2019, SBS Holdings' BOD and stockholders approved the increase in its authorized capital stock from 5,500,000,000 common shares with a par value of P1 per share to 17,290,000,000 with a par value of P1.0 per share. The increase in authorized capital stock was likewise approved by the SEC on November 18, 2019. As at September 30, 2025 and December 31, 2024, the Parent Company owns 2,255,000,000 of SBS Holdings' outstanding capital stock, representing 45% ownership. There were no dividend declarations made by SBS Holdings for the periods ended September 30, 2025 and December 31, 2024.

15. COMMITMENTS AND CONTINGENCIES

15.1 Operating Lease Commitments – Company as Lessor

Certain real properties held or managed by the Group are leased to third parties under operating lease agreements. Currently, the lease agreements have a remaining lease term of less than one year, with an option to renew under terms and conditions to be agreed upon by the parties. Revenues from these agreements are presented as part of Other Operating Income in the condensed consolidated statements of comprehensive income (see Note 11).

In relation to the lease agreements, the Group also received security deposits from the lessees, which is to be returned to the counterparties at the end of the lease term. The security deposits are presented under Non-current liabilities section in the condensed consolidated statements of financial position even when the current remaining lease term is for one year as management believes a renewal of the lease terms with the lessees is fairly certain.

15.2 Others

There are other commitments and contingent liabilities that arise in the normal course of the Group's operations that are not reflected in the condensed consolidated financial statements. As at September 30, 2025 and December 31, 2024, management is of the opinion that losses, if any, from these items will not have a material effect on the Group's condensed consolidated financial statements.

16. RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group is exposed to a variety of financial risks which resulted from both its operating, investing and financing activities. The Group's risk exposures are managed in close coordination with the BOD who focuses on actively securing the Group's short to medium-term cash flows by minimizing the exposure to financial markets. Long-term financial investments are managed to generate lasting returns. The most significant financial risks to which the Group is exposed to are described in the succeeding page.

16.1 Interest Rate Risk

The Group's policy is to minimize interest rate cash flow risk exposures on long-term financing. As at September 30, 2025 and December 31, 2024, the Group is exposed to changes in market interest rates through its loans payable (see Note 10) and cash in banks, which are subject to variable interest rates.

16.2 Credit Risk

Credit risk is the risk that a counterparty fails to discharge an obligation to the Group. The Group is exposed to this risk for various financial instruments arising from selling goods to customers, granting advances to related parties and by placing deposits with banks.
The Group continuously monitors defaults of customers and other counterparties, identified either individually or by group, and incorporates this information into its credit risk controls. The Group's policy is to deal only with creditworthy counterparties.
The maximum credit risk exposure of financial assets is the carrying amount of the financial assets as shown in the condensed consolidated statements of financial position or the detailed analysis provided in the notes to condensed consolidated financial statements as shown in the succeeding page.

	Notes	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
Cash		**P 1,805,238,222**	P 1,229,218,433
Trade and other receivables	3	**143,701,322**	130,959,653
Refundable deposits	5	**590,109,591**	917,695,302
		P 2,539,049,135	P 2,277,873,388

None of the Group's financial assets are secured by collateral or other credit enhancements, except for cash and cash equivalents as described below.

a) Cash

The credit risk for cash in banks is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

As part of the Group's policy, bank deposits are only maintained with reputable financial institutions. Cash in banks which is insured by the Philippine Deposit Insurance Corporation up to a maximum coverage of P1.0 million per depositor per banking institution, as provided for under Republic Act No. 9576, *Amendment to Charter of Philippine Deposit Insurance Corporation*, is still subject to credit risk.

b) Trade and Other Receivables and Refundable deposits

The Group applies the simplified approach in measuring ECL which uses a lifetime expected loss allowance for all trade and other receivables. Advances to officers and employees have been assessed separately and individually wherein management determined that there is no required ECL to be recognized since collections are made on a monthly basis or through salary deductions within a period of one year or less.

To measure the ECL, trade receivables have been grouped based on shared credit risk characteristics and the days past due (age buckets). The Group also concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the other receivables as it shares the same credit risk characteristics.

The expected loss rates are based on the payment and aging profiles over a period of 36 months, and the corresponding historical credit losses experienced within such period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

The Group has identified the Gross Domestic Product and the inflation rate in the Philippines to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

Accordingly, the Group recognized loss allowance equivalent to 0.1% of outstanding trade receivables as of September 30, 2025 and December 31, 2024. Management deems this estimate to be adequate and reflective of the Group's ability to collect from its customers based on a 36-month historical payment profile prior to the adoption of PFRS 9.

The Group's trade receivables are actively monitored to avoid significant concentrations of credit risk. In addition, the Group has adopted a no-business policy with customers lacking an appropriate credit history where credit records are available.

ECL allowance for refundable deposits and non-trade receivables, which are collectible from related parties were assessed based on general liquidity of the respective counterparties. No loss allowance was recognized on these financial assets as the collection is expected to be within the next 12 months based on the current standing of the counterparties and the current status of the related transactions.

16.3 Liquidity Risk

The Group manages its liquidity needs by carefully monitoring scheduled debt servicing payments for long-term financial liabilities as well as cash outflows due in a day-to-day business. Liquidity needs are monitored in various time bands, on a day-to-day and week-to-week basis, as well as on the basis of a rolling 30-day projection. Long-term liquidity needs for a six-month and one-year period are identified monthly.

The Group maintains cash to meet its liquidity requirements for up to 60-day periods. Excess cash are deposited in banks. Funding for long-term liquidity needs is additionally secured by an adequate amount of committed credit facilities and the ability to sell long-term financial assets.

As at September 30, 2025 and December 31, 2024, the Group's financial liabilities (except for lease liabilities) have contractual maturities as follows:

	Within 6 Months	6 to 12 Months	More than 1 Year
September 30, 2025:			
Loans payable	P 2,081,715,231	P 98,231,707	P 186,325,164
Trade and other payables	332,405,421	-	-
	P 2,414,120,652	**P 98,231,707**	**P 186,325,164**
December 31, 2024:			
Loans payable	P 1,457,256,418	P 105,005,370	P 332,926,130
Trade and other payables	333,033,287	-	-
	P 1,790,289,705	P 105,005,370	P 332,926,130

The contractual maturities shown above reflect the gross cash flows, which may differ from the carrying values of the liabilities at the end of the reporting periods.

17. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND PROCEDURES

The Group's capital management objectives are to ensure the Group's ability to continue as a going concern in order to provide adequate returns in the future to its stockholders and benefits for other stakeholders.

The Group monitors capital on the basis of the carrying amount of equity as presented on the condensed consolidated statements of financial position.

The Group sets the amount of capital in proportion to its overall financing structure, i.e., equity and liabilities. The Group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets.

The debt-to-equity ratio as of September 30, 2025 and December 31, 2024 is presented below.

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Liabilities	**P 2,730,266,625**	P 2,227,621,562
Equity	**6,519,943,483**	6,604,383,528
Debt-to-equity ratio	**0.42 : 1.00**	0.34 : 1.00

18. CATEGORIES AND OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

18.1 Carrying Amounts and Fair Values of Financial Assets and Financial Liabilities

The carrying amounts and fair values of the categories of financial assets and financial liabilities presented in the condensed consolidated statements of financial position are shown below.

(Amounts in PHP)		**September 30, 2025 (Unaudited)**		**December 31, 2024 (Audited)**	
	Notes	**Carrying Values**	**Fair Values**	**Carrying Values**	**Fair Values**
Financial assets					
Financial assets at amortized cost					
Cash and cash equivalents		**1,805,238,222**	**1,805,238,222**	**1,229,218,433**	**1,229,218,433**
Trade and other receivables – net	3	**143,701,322**	**143,701,322**	**130,959,653**	**130,959,653**
Refundable deposits	5	**590,109,591**	**590,109,591**	**917,695,302**	**917,695,302**
		2,539,049,135	**2,539,049,135**	**2,277,873,388**	**2,277,873,388**
Financial liabilities					
Financial liabilities at amortized cost					
Loans payable	10	**2,332,483,065**	**2,332,483,065**	**1,825,054,603**	**1,767,707,149**
Trade and other payables	9	**332,405,421**	**332,405,421**	**333,033,288**	**333,033,288**
		2,664,888,486	**2,664,888,486**	**2,158,087,891**	**2,100,740,437**

A description of the Group's risk management objectives and policies for financial instruments is provided in Note 16.

For financial instruments with maturity of more than one year, management consider their carrying values to be equal their fair values as management assesses that the effect of discounting on these instruments is not material.

The Group has no financial instruments carried at fair value. For the Group's financial assets and financial liabilities as of September 30, 2025 and December 31, 2024 that are carried at amortized cost, management determined that the carrying amounts approximate or equal their fair values.

18.2 Offsetting of Financial Assets and Financial Liabilities

The Group has not set off financial instruments as of September 30, 2025 and December 31, 2024 and does not have relevant offsetting arrangements as of the end of the reporting periods. Currently, financial assets and financial liabilities are settled on a gross basis; however, if applicable, each party to the financial instrument will have the option to settle all such amounts on a net basis in the event of default of the other party through approval by both parties.

19. FAIR VALUE MEASUREMENT AND DISCLOSURES

19.1 Fair Value Hierarchy

In accordance with PFRS 13, *Fair Value Measurement*, the fair value of financial assets and liabilities and non-financial asset which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS, are categorized into three levels based on the significance of inputs used to measure the fair value.

The fair value hierarchy has the following levels:

(a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;

(b) Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,

(c) Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the financial asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

For investments which do not have quoted market price, the fair value is determined by using generally acceptable pricing models and valuation techniques or by reference to the current market of another instrument which is substantially the same after taking into account the related credit risk of counterparties or is calculated based on the expected cash flows of the underlying net asset base of the instrument.

When the Group uses valuation technique, it maximizes the use of observable market data where it is available and relies as little as possible on entity specific estimates. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in Level 2. Otherwise, it is included in Level 3.

19.2 Financial Instruments Measured at Amortized Cost for which Fair Value is Disclosed

The table below and succeeding page summarizes the fair value hierarchy of the Group's financial assets and financial liabilities which are not measured at fair value as at September 30, 2025 and December 31, 2024 condensed consolidated statements of financial position but for which fair value is disclosed.

	Level 1	Level 2	Level 3	Total
September 30, 2025 (Unaudited)				
Financial assets:				
Cash	P 1,805,238,222	P -	P -	P 1,805,238,222
Trade and other receivables	-	-	143,701,322	143,701,322
Refundable deposits	-	-	590,109,591	590,109,591
	P 1,805,238,222	**P -**	**P 733,810,913**	**P2,539,049,135**
Financial liabilities:				
Loans payable	P -	P -	P 2,332,483,065	P 2,332,483,065
Trade and other payables	-	-	332,405,421	332,405,421
	P -	**P -**	**P2,664,888,486**	**P 2,664,888,486**

	Level 1	Level 2	Level 3	Total
December 31, 2024 (Audited)				
Financial assets:				
Cash	P1,229,218,433	P -	P -	P 1,229,218,433
Trade and other receivables	-	-	130,959,653	130,959,653
Refundable deposits	-	-	917,695,302	917,695,302
	P 1,229,218,433	P -	P 1,048,654,955	P 2,277,873,388
Financial liabilities:				
Loans payable	P -	P -	P 1,767,707,149	P 1,767,707,149
Trade and other payables	-	-	333,033,288	333,033,288
	P -	P -	P 2,100,740,437	P2,100,740,437

For financial assets and financial liabilities with fair values included in Level 1, management considers that the carrying amounts of those short-term financial instruments approximate their fair values.

As of September 30, 2025 and December 31, 2024, the fair value of investment securities at amortized cost were based on the last transaction price nearest to (either prior or subsequent to) report date. This valuation technique is set out in PFRS 13 as Level 2 inputs.

19.3 Fair Value Measurement for Non-financial Assets

As determined by independent and SEC-accredited property appraisers, the total fair market values of these investment properties as of July 3, 2024, which are primarily determined with reference to current and most recent prices for similar properties within the same location and condition, amounted to P8.7 billion. Management determined that the appraisal made in 2024 remains valid; thus, these investment properties continue to hold the same fair market value as of September 30, 2025 and December 31, 2024 (see Note 8). The fair market values of investment properties are classified under Level 2.

20. EVENTS AFTER REPORTING DATE

On November 5, 2025, the Company issued 341,000,000 common shares at par value of P1.00 per share, representing the 22% stock dividend declared by the Board of Directors on March 20, 2023 and ratified by stockholders on July 3, 2023, to stockholders of record as of October 10, 2025. The issuance date has been rescheduled from October 22, 2025 due to regulatory compliance (see Note 14.2). Upon issuance, the P341.0 million Stock Dividends Distributable will be reclassified to Capital Stock in the Group's financial statements

Capital stock after issuance of the stock dividends on November 5, 2025 consists of common shares with details shown below.

	Shares	
	Shares	**Amount**
Authorized - P1 par value	**2,750,000,000**	**P2,750,000,000**
Subscribed, issued, outstanding	**1,890,999,999**	**P1,890,999,999**

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
LIST OF SEC SUPPLEMENTARY SCHEDULES

September 30, 2025

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68

Schedule A - Financial Assets (Financial Assets at Amortized Cost)
September 30, 2025
(Amounts in Philippine Pesos)

Description	Number of shares or Principal Amount of Bonds and Notes	Amount Shown in the Statements of Financial Position	Income received and accrued
Cash	-	P 1,805,238,222	P 40,539,045
Trade and other receivables	-	143,701,322	-
Refundable deposits	-	590,109,591	-
		P 2,539,049,135	**P 40,539,045**

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68

Schedule A - Financial Assets (Financial Assets at Fair Value Through Profit or Loss)
September 30, 2025
(Amounts in Philippine Pesos)

Name of issuing entity and association of each issue	Number of shares	Amount shown in the balance sheet	Valued based on market quotation at balance sheet date	Income received and accrued

NOT APPLICABLE

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68

Schedule A - Financial Assets (Fair Value Through Other Comprehensive Income)
September 30, 2025
(Amounts in Philippine Pesos)

Name of issuing entity and association of each issue	Number of shares	Amount shown in the balance sheet	Valued based on market quotation at balance sheet date	Income received and accrued

NOT APPLICABLE

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68

Schedule B - Amounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders (Other than Related Parties)

			Deductions		Ending Balance		
Name and Designation of debtor	Balance at beginning of period	Additions	Amounts paid	Amounts reclassified	Current	Non-current	Balance at end of period

NOTHING TO REPORT

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68

Schedule C
Amounts Receivable from Related Parties which are Eliminated during the Consolidation of Financial Statements
September 30, 2025

Name and Designation of debtor	Balance at beginning of period	Additions	Amounts collected	Amounts written off	Current	Not Current

NOTHING TO REPORT

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68

Schedule D - Long Term Debt
September 30, 2025
(Amounts in Philippine Pesos)

Title of Issue and type of obligation	Amount shown under caption "Current portion of long-term debt" in related balance sheet	Amount shown under caption "long-term debt" in related balance sheet
Term Loan	P 176,800,231	P 176,800,231

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68

Schedule E - Indebtedness to Related Parties
September 30, 2025
(Amounts in Philippine Pesos)

Name and designation of debtor	Balance at beginning of period	Balance at end of period

NOTHING TO REPORT

SBS PHILIPPINES CORPORATION AND SUBSIDIARY
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68

Schedule F - Guarantees of Securities of Other Issuers
September 30, 2025
(Amounts in Philippine Pesos)

Name of issuing entity of securities guaranteed by the company for which this statement is filed	Title of issue of each class of securities guaranteed	Total amount guaranteed and outstanding	Amount owned by person for which statement is filed	Nature of guarantee

NOTHING TO REPORT

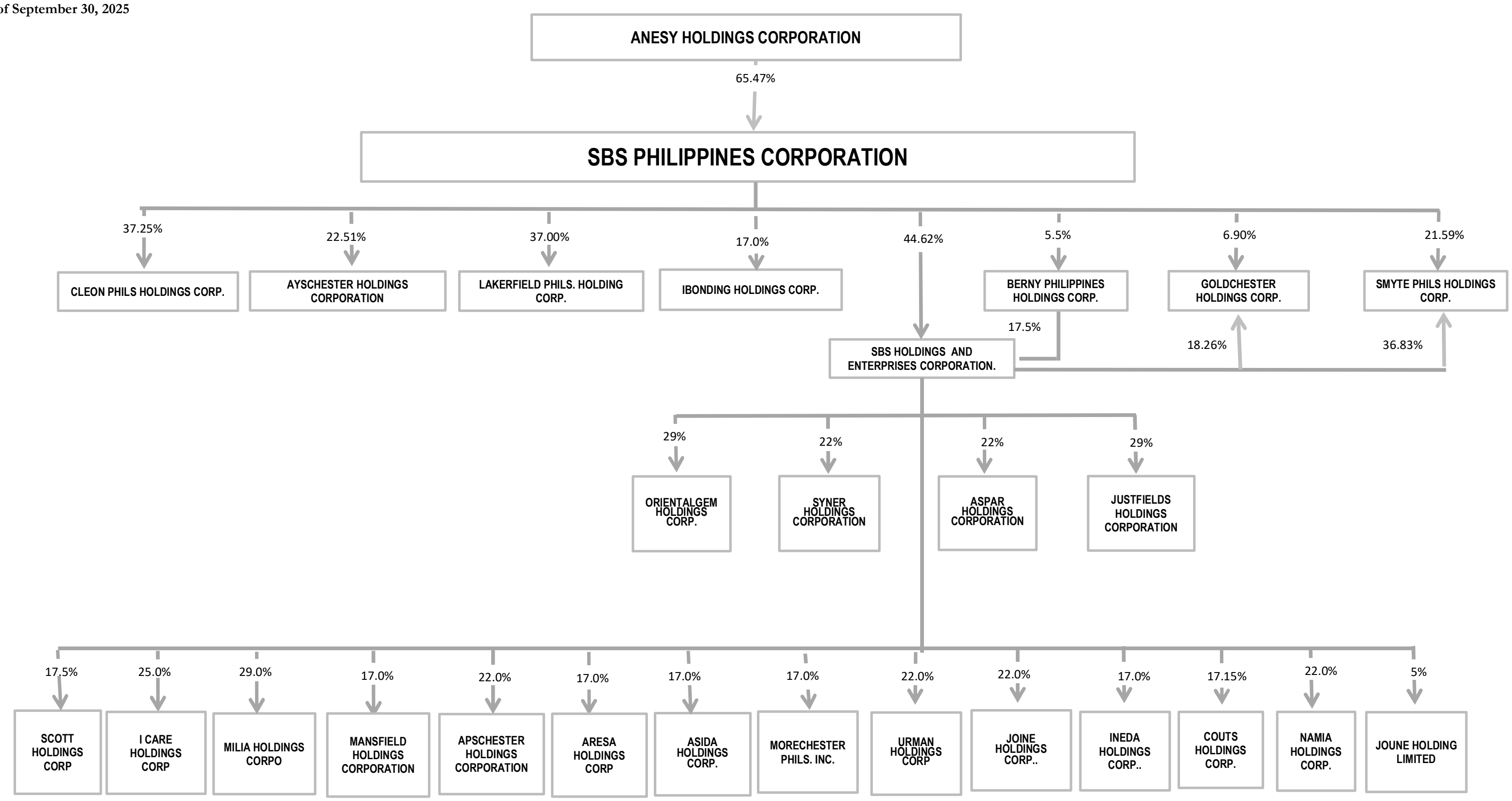
SBS PHILIPPINES CORPORATION AND SUBSIDIARIES
(A Subsidiary of Anesy Holdings Corporation)
SEC Released Amended SRC Rule 68
Schedule G - Capital Stock
September 30, 2025
(Amounts in Philippine Pesos)

Title of Issue	Number of shares authorized	Number of shares issued and outstanding as shown under related balance sheet caption	Number of shares reserved for options, warrants, converstion and other rights	Number of shares held by related parties	Directors, officers and employees	Others
Common Shares - P1 par value	1,550,000,000	1,549,999,999	-	1,024,230,272	156,303,004	369,466,723

SBS PHILIPPINES CORPORATION AND SUBSIDIARIES

SHOWING THE RELATIONSHIPS BETWEEN AND AMONG COMPANIES IN THE GROUP

Ultimate Parent Company and Subsidiary
as of September 30, 2025



SBS PHILIPPINES CORPORATION AND SUBSIDIARY
Schedule of Financial Indicators for September 30, 2025 and 2024

	2025	2024
Liquidity Ratio [1]	**115.1%**	115.0%
Debt to Equity Ratio [2]	**41.9%**	38.5%
Asset to Equity Ratio [3]	**141.9%**	138.5%
Return on Assets [4]	**0.2%**	0.1%
Return on Equity [5]	**0.3%**	0.1%
Cost to Income Ratio [6]	**19.9%**	17.7%
Interest Cost Coverage Ratio [7]	**127.5%**	114.2%
Earnings per Share [8]	**PHP 0.02**	PHP 0.01

1/ Current Assets over Current Liabilities

2/ Total Liabilities over Equity

3/ Total Assets over Equity

4/ Net Income over Average Assets

5/ Net Income over Average Equity

6/ Cost and Expenses over Revenues

7/ EBIT over Interest Expense

8/ Net Income over Weighted Average Number of Common Outstanding Shares

PART II: **MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITIONS AND RESULTS OF OPERATIONS**

The following discussions should be read in conjunction with the Unaudited Consolidated Interim Financial Statements of the Company as of and for the period 30 September 2025 (with comparative figures as of 31 December 2024 and for the period ended 30 September 2024).

Results of Operations (3Q 2025 versus 3Q 2024)

SBS Philippines Corporation ("SBS" or the "Company") and its subsidiary generated sales of P752.8 million in the nine-month period ended 30 September 2025, down by 9.7% compared to previous comparable period of P833.7 million. The decline was primarily due to softer demand in the Food Ingredients, Industrial, Home and Personal Care and Pharmaceuticals segments, partly offset by growth in Animal Health and Nutrition, and the Environment and Infrastructure segments.

Sales of Food ingredients segment contributed 31% of total revenue for the period while Animal Health and Nutrition, Industrial Chemicals, Home and Personal Care, and Others segments contributed 31%, 13%, 12% and 13% of sales revenue, respectively.

The Company posted a gross profit of P266.8 million, 13% lower compared to the same period of the prior year due to reduced sales and tighter margins. Other operating expenses closed at P150.0 million in the first nine months of 2025, slightly up from P147.8 million of the same period in 2024, while other operating income rose significantly to P17.1 million from P8.4 million in the previous year.

Operating profit on a consolidated basis decreased by 21% from P168.9 million to P133.9 million on comparable period year on year. Meanwhile, equity in net losses of associates decreased by P4.5 million or 15.2% to P25.0 million for the first nine months of 2025. Net finance cost declined by P42.7 million to P77.3 million in 2025 from P120.0 million in 2024 due to lower amount of outstanding loans in 2025 coupled by decreasing interest rates in the market.

The Group posted a net profit of P16.3 million for the first nine months of 2025, up by P7.9 million from P8.4 million for the first nine months of 2024 as a result of reduced finance cost and higher other operating income, despite lower revenues and gross profit.

Material Changes to the Statement of Comprehensive Income for the nine months ended 30 September 2025 compared to the Statement of Comprehensive Income for the nine months ended 30 September 2024.

The chemical distribution sales revenue for the nine-month period closed at P752.8 million, showing a decrease of P81.0 million or 9.7% from P833.7 million posted during the same period of last year, with declines in the primary industry segments.

Cost of goods sold for the first nine months decreased by P39.5 million or 7.5% from P525.4 million in 2024 to P486.0 million in 2025, reflecting the decrease in sales volume.

Gross profit from operations decreased by P41.5 million from P308.3 million posted in the first nine months of 2024 to P266.8 million of comparable period in 2025.

Other operating expenses were slightly up by P2.2 million or 1.5% from P147.8 million posted in the first nine months of 2024 to P150.0 million in 2025 due mostly to increase in manpower-related expenses.

Other operating income increased significantly to P17.1 million in the first nine months of 2025 from P8.4 million during the same period in 2024, representing a growth of P8.7 million or 104.0% year-on-year.

Equity in net losses of associates closed at P25.0 million in 2025, improving by P4.5 million or 15.2% as compared to the same period of 2024.

Net finance cost decreased by P42.7 million or 35.6% as a result of lower outstanding debt coupled with decreasing interest rates.

Profit before tax increased to P31.6 million in the first nine months of 2025 from P19.4 million in the same period of 2024, reflecting a growth of P12.2 million or 62.7%, mainly driven by higher other operating income and improved finance cost.

The Group’s tax expense increased by P4.2 million in the first nine months of 2025 as compared to the same period of the prior year.

As a result of the foregoing, the Group’s Net Income improved significantly to P16.3 million in the first nine months of 2025, up by P7.9 million compared to P8.4 million from the same period in 2024.

Material Changes to the Statement of Financial Position as at 30 September 2025 Compared to the Statement of Financial Position as at 31 December 2024.

Assets

As at 30 September 2025, total assets on consolidated basis amounted to P9,250.2 million, consisting of P2,875.2 million in current assets and P6,375.0 million in non-current assets. As at 31 December 2024, total assets amounted to P8,832.0 million, consisting of P2,331.0 million in current assets and P6,501.0 million in non-current assets.

Cash and cash equivalents increased by 13.0% or P576.0 million from P1,229.2 million in 2024 to P1,805.2 million in 2025. For the first nine months ended 30 September 2025, a total collection of P2,287.8 million was received, comprising of P187.3 million from operations, P1,745.0 million proceeds from short-term loans, P315.0 million collection of refundable deposits and P40.5 million in interest income. Against this, a total of P1,711.8 million in disbursements was made consisting of the following: P1,238.3 million for settlement of loan; P250.0 million advance payment for investment in associates, P110.3 million for interest payment, P100.8 million for payment of dividends, P7.5 million for the acquisition of property and equipment, P1.4 million payment for lease liabilities, P0.4 million for the acquisition of computer software, and P3.0 million effects of foreign exchange rate changes in cash.

Trade and other receivables increased by P12.7 million or 17.4% from P131.0 million in 2024 to P143.7 million in 2025 mainly due to timing of collection of trade receivables.

Inventory decreased by P9.3 million or 1.2% from P775.4 million in 2024 to P766.1 million in 2025.

Prepayments and other current assets decreased by P35.3 million or 18.1% from P195.5 million in 2024 to P160.1 million as of September 30, 2025 mostly due to reduced refundable deposits, input VAT and creditable withholding taxes.

Investments in associates closed at P3,151.7 million in 2025, decreasing by P14.3 million or 0.5% from P3,166.0 million as at December 31, 2024 due to recognition of P25.0 million in net equity losses partially offset by additional investments of P10.7 million.

Property and equipment – net decreased by P2.3 million or 1.6% to P141.6 million in 2025 from P143.9 million in 2024 due to depreciation expense of P9.8 million during the period, partially offset by P7.5 million acquisition of property and equipment.

Right-of-use assets-net decreased by P32.8 million from P125.8 million in 2024 to P93.0 million in 2025 corresponding to the amortization during the period.

Other non-current assets decreased by P76.6 million or 3.1% in 2025 due to the collection of P315.0 million in refundable deposits, reclassification of P10.7 million to investment in associates and amortization of computer software of P0.9 million, partially offset by P250.0 million additional deposits for investments in associates.

Liabilities

The total liabilities as at 30 September 2025 amounted to P2,730.3 million, comprising of P2,498.2 million in current liabilities and P232.1 million in non-current liabilities. For 31 December 2024, the total liabilities amounted to P2,227.6 million comprised of P1,852.2 million in current liabilities and P375.4 million in non-current liabilities.

Current loans payable increased by 42.0% or P637.8 million from P1,517.9 million in 2024 to P2,155.7 million as of third quarter 2025 due to availments of short term loans of P1,745.0 million and reclassification of P133.3 million from long-term loans to short-term, partially offset by loan settlement of P1,238.3 million made during the period.

A 5-year term loan of P700 million availed in 2022 subject to annual repricing, with interest rate adjusted from 5.1% in 2022 to 7.58% in 2025, net of amortized debt issue cost has an outstanding balance of P353.6 million of which P176.8 million is reflected as part of the current liabilities and P176.8 million under non-current liabilities.

Trade and other payables increased by P4.7 million or 1.4% from P332.9 million in 2024 to P337.6 million in 2025 due to timing of supplier settlements.

The current lease liabilities was fully settled during the period, decreasing from P1.4 million in 2024 to nil as of the third quarter, while the non-current lease liabilities increased by P3.4 million due to interest accretion on the lease obligations.

Income tax payable increased by P4.9 million as of the third quarter of 2025 due to higher taxable income recognized during the period and the corresponding increase in current tax provision. Meanwhile, deferred tax liabilities – net decreased by P16.7 million from P17.1 million in 2024 to P0.4 million as of September 30, 2025 due mostly to recognition of deferred income tax benefits on the part of the subsidiary.

Security deposit increased by P0.3 million as of the third quarter of 2025 due to new customer deposits.

Total equity

The total equity as at 30 September 2025 was P6,519.9 million, comprising of P1,550.0 million in capital stock, P2,242.8 million in additional paid in capital stock, P341.0 million in stock dividends distributable, P1,686.9 million in retained earnings, P3.7 million revaluation reserves and P703.0 million non-controlling interest in a subsidiary. As of 31 December 2024, the total equity was P6,604.4 million, comprising of P1,550.0 million in capital stock, P2,242.8 million in additional paid in capital stock, P341.0 million in stock dividends distributable, P1,760.0 million in retained earnings, P3.7 million revaluation reserves and P714.3 million non-controlling interest in a subsidiary.

Retained earnings decreased by P73.1 million from P1,760.0 million in 2024 to P1,680.7 million in 2025 on account of dividends payment of P100.8 million and partially offset by current period income of P27.7 million attributable to Company shareholders.

Liquidity and Capital Resources

Net cash flows from operating activities

As at September 30, 2025, the cash flows from operating activities resulted to a net inflow of P187.3 million. Cash receipts were mainly from operating profit, decrease in prepayments, decrease in inventories, increase in trade and other payables, increase in security deposits and partially offset by increase in trade and other receivables and payment of income taxes.

Net cash flows from investing activities

The cash flow from investing activities resulted in a net inflow of P97.6 million coming from refundable deposit and interest income, partially offset by advance payment for investment in associates and acquisition of property, equipment and computer software.

Net cash flows from financing activities

The cash flow from financing activities resulted in a net inflow of P294.2 million. The cash inflows were from proceeds of short term loans partially offset by settlement of bank loans and payments of interests, dividends and lease liabilities.

Key Performance Indicators (30 September 2025 versus 30 September 2024)

	2025	2024
Liquidity Ratio [1]	**115.1%**	**115.0%**
Debt to Equity Ratio [2]	**41.9%**	**38.5%**
Asset to Equity Ratio [3]	**141.9%**	**138.5%**
Return on Assets [4]	**0.2%**	**0.1%**
Return on Equity [5]	**0.3%**	**0.1%**
Cost to Income Ratio [6]	**19.9%**	**17.7%**
Interest Cost Coverage Ratio [7]	**127.5%**	**114.2%**
Earnings per Share [8]	**PHP 0.02**	**PHP 0.01**

1/ *Current Assets over Current Liabilities*

2/ *Total Liabilities over Equity*

3/ *Total Assets over Equity*

4/ *Net Income over Average Assets*

5/ *Net Income over Average Equity*

6/ *Cost and Expenses over Revenues*

7/ *EBIT over Interest Expense*

8/ *Net Income over Weighted Average Number of Common Outstanding Shares*

Other qualitative and quantitative factors

(i) Any known trends or any known demands, commitments, events or uncertainties that will result in or that are reasonably likely to result in the registrant's liquidity increasing or decreasing in any material way. The following conditions shall be indicated: whether or not the registrant is having or anticipates having within the next twelve (12) months any cash flow or liquidity problems; whether or not the registrant is in default or breach of any note, loan, lease or other indebtedness or financing arrangement requiring it to make payments; whether or not a significant amount of the registrant's trade payables have not been paid within the stated trade terms.

Based on the Group's risk assessment and scenarios analysis, current projections indicate that the Group has liquidity to cope in an increasingly competitive business environment. With the benchmark rate lowered to 4.75 %, the Group expects liquidity to remain manageable and financing costs to ease further. Nonetheless, the eventual impact on customer demand and the broader business environment remains uncertain, and the BSP has signaled that future adjustments will depend on inflation and growth dynamics. The Group will therefore continue to monitor monetary policy developments and update its projections as new information becomes available.

As of this date, the Group is not in default of any financial obligations. The Group has complied with the existing loan covenants and restrictions as of 30 September 2025.

(ii) Any events that will trigger direct or contingent financial obligation that is material to the company, including any default or acceleration of an obligation:

None

(iii) Any material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the company with unconsolidated entities or other persons created during the reporting period:

None

(iv) Any material commitments for capital expenditures, the general purpose of such commitments, and the expected sources of funds for such expenditures

The Company now expects to spend only about P10 million on capital expenditures in 2025. This is significantly lower than the previously budgeted P42 million because major warehouse consolidation and logistics upgrades will begin later than originally planned, and the bulk of the budget will be carried over to subsequent periods. The program remains aligned with the Group's 5-year strategic plan to consolidate warehouse operations, improve energy-utilization efficiency and invest in additional logistics infrastructure. Funding will continue to come from internally generated cash and, if necessary, available credit facilities.

(v) Any known trends, events or uncertainties that have had or that are reasonably expected to have impact on sales/revenues/ income from continuing operations

Seasonal factors—particularly the rainy season and typhoon-related work suspensions—curtailed construction and industrial activity and disrupted production and logistics, dampening near-term orders for raw materials. Business sentiment has softened amid “ghost month,” higher U.S. tariffs and geopolitical tension, and freight providers warn that peak-season demand combined with potential La Niña could push shipping costs higher. On the positive side, the Bangko Sentral ng Pilipinas has cut its policy rate by 25 bp in June, August and October, lowering it to 4.75 %; while this should ease financing costs, it also reflects a more cautious economic outlook.

(vi) Any significant elements of income or loss that did not arise from continuing operations

None.

(vii) Seasonal aspects that had material effect on the financial condition or results of operations

For some end markets served by the Company, there is a pronounced cyclicality in the level of industrial production due to consumption and weather patterns affecting their processes and products. For the food and beverage business, the low requirement months in general are March-April and November-December while these drier months are generally the peak period for the requirements of the feeds and mining industries. This pronounced cyclicality creates some complexity in inventory management as the Company has to make purchases that would need to correspond to the expected demand for its products.

However, the Company’s significant experience in the industry allows it to fairly estimate the supply requirements of its client base. The Company considers historical sales data, customer’s rolling production forecasts, market information collected by the sales force and seasonal trends in anticipating future demand for its products. Further, given the Company’s presence in a broad range of industries, there is substantially less exposure to the cyclicality of specific industries.